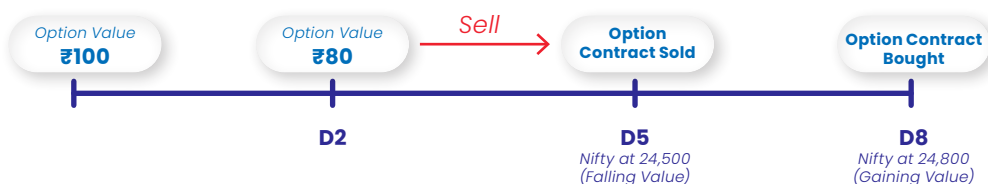


You can think of options as holding an ice cream cone in 40°C weather. You are better off eating it fast rather than making a mess after holding it too long. Likewise, you must enter a position whenever the momentum seemingly supports your view. When the momentum reverses, exit. However, don't hold an option. Let us understand this with a scenario.

Example:

Suppose I bought an option with the view that Nifty would increase by 200 points. The next trading day, Nifty goes up by more than 200 points. My view becomes the reality. At this juncture, I should sell my option. If I keep holding it, its value will collapse because of theta decay.



Imagine that you buy an option for ₹100. Its value drops to ₹80, but you still hold the same view. You should exit the option and buy it when the momentum has reduced the premium. For instance, suppose Nifty is at 24,500. Your view is that Nifty will increase to 24,800. Unfortunately, Nifty started falling. Then, you should sell your options.

Once Nifty starts picking up again, you can buy an option with the same strike price for much less. It is because the probability of Nifty reaching 24,800 will be much lower.

3.1 How Much Heat Can You Handle?

Let us understand which strike price to choose with the help of an analogy.

As an option buyer

Suppose the current market price (the at-the-money or ATM price) is a bonfire. As an option buyer, you want to be close to the fire, especially during winter. In this analogy, the winter season is a period where there isn't much variance in the stock prices. However, to be close to the fire, you must wear the appropriate clothes. It means that you must predefine your risk. You cannot be in a hedged position if you want to be close to the fire.

